

necessities from your total income. The answer (which is positive, hopefully) is the amount of discretionary income you have left.

Divide your discretionary income into two parts: the amount you'll save to meet your goals (like a car, a house, or your own retirement) and the amount you'll spend on things that aren't necessities (like movies, designer water, clothes you don't really need, and so on). At this point, it should become clear whether you need to adjust the size of your goal or the number of years in which you can realistically hope to attain it.

Of course it's hard to spend less, but this exercise will only work if you're ready to commit to putting limits on your unnecessary spending. Can you get by on \$50 a week for eating out and entertainment? Is it worth it to you to forgo the latest cell phone or boots for a long-term goal? Once you start, it becomes easier than you think.

Figure 2-2 WORKSHEET: A MONTH IN YOUR FINANCIAL LIFE	
INCOME (what you take in each month):	
Salary and bonuses (before tax)	_____
Pay from extra jobs (before tax)	_____
Interest on savings	_____
Interest on income	_____
Scholarship money	_____
Other	_____
TOTAL INCOME PER MONTH (BEFORE TAX)	_____
OUTFLOW (what you pay out each month):	
Federal, state, and local income tax and FICA (get this figure from your pay stubs)	_____
Tax on interest income*	_____
Tax on investment income**	_____
Mortgage or rent	_____
IRA and 401(k) contributions	_____
Groceries	_____
Gas and electricity	_____
Cell phone and landline	_____
Eating out (including morning coffee, snacks, and lunches out)	_____
Nightlife	_____
Clothes and shoes	_____
Student loan payments	_____
Car loan payments	_____
Gas, car repairs, maintenance	_____
Public transportation (bus, train, taxi costs)	_____
Health insurance	_____
Homeowners/renters insurance	_____
Auto insurance	_____